UNITED STATES BANKRUPTCY COURT
NORTHERN DISTRICT OF GEORGIA
ATLANTA DIVISION

In Re: [redacted] SMITH, aka [redacted] Debtor.	Case No. 25-62180-LRC Chapter 13
SPARTANBURG COUNTY TAX COLLECTOR, Movant, v. [redacted] SMITH, aka [redacted] Respondent.	CONTESTED MATTER

OBJECTION TO CONFIRMATION OF CHAPTER 13 PLAN

NOW COMES Spartanburg County Tax Collector (the "***County***"), a secured creditor in this case and asserts this Objection (the "***Objection***") to confirmation of the Amended Confirmation of Chapter 13 Plan [Dkt. No. 154] (the "***Plan***"). In support of its Objection, the County states as follows:

1. The County is a secured creditor and the holder of a secured tax claim (the "***Tax Lien***") representing the total sum of $40,375.03 as of the Petition Date (as defined herein) associated with the real property generally located at 379 Bethesda Road, Spartanburg, South Carolina, Tax Map Parcel No. 3-23-00-068.00 (the "***Real Property***"), currently owned, in part, by the Debtor. The County's claim is comprised of $25.03 in ad valorem property tax and

$40,350.00 in demolition costs the County incurred to remove a condemned, unsafe structure from the Real Property.

2. On October 21, 2025 (the "***Petition Date***"), [redacted] Smith aka [redacted] (the "***Debtor***") filed a voluntary petition for relief under Chapter 13 of the United States Bankruptcy Code and Melissa J. Davey was duly appointed as Chapter 13 Trustee.

3. The County is the legal holder of the Tax Lien.

4. The Tax Lien is secured by a first position lien on the Real Property.

5. Upon information and belief, the Debtor has a 1/12 ownership interest in the Real Property, as the Real Property is heirs property.

6. Upon information and belief, the Debtor acquired his 1/12 ownership interest in the Real Property after the Tax Lien was perfected against the Real Property.

7. Upon information and belief, there are at least 13 other individuals, not including the Debtor, with an ownership interest in the Real Property.

8. The County has filed a Motion for Relief from Stay [Dkt. No. 125] (the "***Motion for Relief from Stay***") to pursue its state law rights and remedies with respect to the Real Property (the "***Foreclosure Action***"), including foreclosing its Tax Lien.

9. Section 3.3 of the Plan provides for release of the County's lien upon the Debtor's discharge. The relevant language is copied below:

> The holder of any claim listed below as having value in the column headed Amount of secured claim will retain the lien on the property interest of the debtor(s) or the estate(s) until the earlier of:
>
> (a) payment of the underlying debt determined under nonbankruptcy law, or
>
> (b) payment of the amount of the secured claim, with interest at the rate set forth below, and discharge of the underlying debt under 11 U.S.C. § 1328, at which time the lien will terminate and be released by the creditor.

10. The County objects to the lien release provision copied above because the co-owners are not entitled to discharge of their obligation to the County through the Debtor's bankruptcy.

11. Section 1301(a) provides that the filing of a bankruptcy petition automatically creates a co-debtor stay that generally prevents a creditor from taking any action, or commencing or continuing any civil action, to collect all or any part of a ***consumer debt*** of the debtor from any individual that is liable on such debt with the debtor, or that secured such debt. "Other than the co-debtor stay of § 1301, the Code does not authorize modifications of Creditor's rights against Co-debtor . . . ." *In re Buttel*, No. 22-40542, 2023 WL 3588162, at *4 (Bankr. D. Kan. May 18, 2023).

12. In this instance, the Tax Lien is not a consumer debt. *See Matter of Greene*, 157 B.R. 496, 497 (Bankr. S.D. Ga. 1993) (concluding that tax liability is not a consumer debt and, consequently, the co-debtor stay did not prevent collection efforts against non-filing co-debtors); *In re Westberry*, 215 F.3d 589, 591 (6th Cir. 2000) ("Almost without exception, the bankruptcy courts that have addressed this question have determined that tax debt should not be considered consumer debt for purposes of the codebtor stay."); *In re Stovall*, 209 B.R. 849, 853 (Bankr. E.D. Va. 1997) (collecting cases). Accordingly, the co-debtor stay of Section 1301(a) does not apply to collection activities, including foreclosure of the Tax Lien, against the non-debtor owners of the Real Property.

13. Even if the co-owners were entitled to a stay under Section 1301(a) (which they clearly are not), Section 524(e) provides that discharge of a debt of a debtor ***does not*** affect the liability of any other entity on, or the property of any other entity for, such debt. In other words, Section 524(e) leaves the non-filing co-owners liable for the remaining debt. *See In re Alvarez*, 733 F.3d 136, 142 (4th Cir. 2013) ("the Bankruptcy Code does not authorize a bankruptcy court to eliminate a lienholder's rights with respect to a non-debtor's interest in property . . ."); *Blixseth v. Credit Suisse*, 961 F.3d 1074, 1082 (9th Cir. 2020) ("By its terms, § 524(e) prevents a

bankruptcy court from extinguishing claims of creditors against non-debtors over the very debt discharged through the bankruptcy proceedings."). Therefore, to the extent the Debtor obtains his discharge, the co-debtor stay of Section 1301 is lifted (to the extent it ever existed, which the County disputes) and Section 524(e) leaves the non-filing co-owners of the Real Property liable for the balance of the Tax Lien.

14. Because the co-owners remain liable for the Tax Lien regardless of the Debtor's efforts in this bankruptcy, the termination, release, and purported discharge of the lien as to the co-owners provided in the Plan is inappropriate and the County hereby objects.

15. The County reserves the right to make additional objections to the Chapter 13 Plan at the confirmation hearing.

WHEREFORE, the County respectfully requests that the Court deny confirmation of the Debtor's Chapter 13 Plan unless the Chapter 13 Plan is modified in a manner acceptable to the County and in conformity with applicable law, and provide such other relief as is just and appropriate.

This the 31st day of August, 2026.

/s/ A. Todd Sprinkle

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CERTIFICATE OF SERVICE

I, A. Todd Sprinke, Attorney at Law, certify that I am and at all times hereinafter mentioned was more than 18 years of age; that on the 5th day of August 2026, I served on the persons listed below a copy of the within **OBJECTION TO CONFIRMATION OF CHAPTER 13 PLAN** by electronic service or by regular mail, with appropriate postage affixed, at:

[redacted] Smith
[redacted]
[redacted]

Patricia Ann Jamison
366 North Church Street, Suite 400
Spartanburg, South Carolina 29303

Lee Weeks
366 North Church Street, Suite 400
Spartanburg, South Carolina 29303

Melissa J. Davey
Chapter 13 Trustee
233 Peachtree Street NE, Suite 2250
Atlanta, Georgia 30303

This 31st day of August 2026.

/s/ A. Todd Sprinkle
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